

Subject: Economics

Chapter: 1 Class: 11th

Topic: Basic Concept in Economics

Meaning of Economics:

~ Economics is a social science. It is a branch of science which deals with the factors of production, distribution and consumption.

~ It is derived from the Greek word, '*Oikonomia*' which means management of the household.

In other terms, it deals with how human beings satisfy their unlimited wants with limited means (resources).

Definition by Economists:

1. Adam Smith's Wealth-Oriented Definition of Economics:

He is regarded as '**Father of Economics**'. One of his most famous literary works *include*:

"An Inquiry into the Nature and Causes of Wealth of Nations". It was published in the year **1776**.

According to Smith, the study of Economics is concerned with the following aspects:

- 1) Laissez faire i.e., non-intervention of the government.
- 2) Capital and wealth accumulation
- 3) Nature's law in economic affairs.
- 4) Division of labour as an aspect of growth theory.

2. Prof. Alfred Marshall's Welfare-Oriented Definition of Economics:

He is known for his famous book *"Principles of Economics"* which was published in **1890**.

According to Marshall,

"Economics is a study of mankind in the ordinary business of life. It examines that part of individual and social action, which is closely connected with the attainment and use of material requisites of well-being".

3. Lionel Robbins' Scarcity-Oriented Definition of Economics:

He defined Economics as '**Scarcity-Oriented**' one in his famous book *"An Essay on the Nature and Significance of Economic Science"* published in **1932**.

Robbin's definition of Economics is one of the most popular one.

According to Robbins,

"Economics is a science which studies human behaviour as a relationship between ends and scarce means which have alternative uses".

Branches of Economics:

Economics is divided into two parts, namely, '**Micro Economics**' and '**Macro Economics**'.

- In 1933, **Ragnar Frisch** coined the terms Micro Economics and Macro Economics.
- These terms are derived from the Greek words '*Mikros*' and '*Makros*' respectively.

*** Kenneth's Boulding definition of Micro and Macro Economics:**

(Please begin the definition with 'According to Kenneth Boulding')

1. Micro Economics:

"Micro Economics is the study of particular firms, particular households, individual prices, wages, incomes, individual industries, particular commodities"

2. Macro Economics:

"Macro Economics deals not with individual quantities as such, but with the aggregates of these quantities, not with the individual incomes but with the national income, not with individual prices but with the general price level, not with individual output but with the national output".

*** Basic Concepts of Micro Economics:**

1) Want:

In economics, want denotes a feeling of '*lack of satisfaction*'. This feeling enables the individual to satisfy his want.

Q. Why have Human wants grown in number?

Human wants have grown in number for two basic reasons:

- Desire for better living due to inventions and innovations.
- Rise in population.

*** Enlist the Characteristics of want:**

i) **Wants are unlimited:** Wants not only arise again and again but they are also unending. If one want gets satisfied, another arises. Wants go on multiplying in number.

ii) **Wants are recurring in nature:** Several human wants occur again and again, while some might be only occasional.

iii) **Wants differ with age:** Wants and their satisfaction differ as per the chronological age.

- (iv) **Wants differ with gender:** Men and women want different goods according to their needs.
- v) **Wants differ due to preferences:** Individual habits, tastes and preferences matter a lot while deciding wants of the people.
- vi) **Wants differ with seasons:** Wants keep on changing with seasons
- vii) **Wants differ due to culture:** Differences in culture influence wants that are related to food, dressing styles etc.

2) Goods and Services:

- Anything that satisfies human wants is termed as a '**good**'.
- It has material existence, e.g., ***Chalk used by a teacher.***
- Services also satisfy human wants but do not have any material existence, e.g., ***'Teaching'***

3) Utility:

Capacity of a commodity to satisfy human wants or want satisfying power of a commodity is called utility.

E.g. ***Power of milk to satisfy the want of consuming tea.***

4) Value:

Value has two approaches in economics, i.e., 'value-in-use' and 'value in exchange'.

• ***Value-in-use:***

- It refers to the usefulness of a commodity
- E.g., no one has to pay price for sunshine but its immense worth for life can never be doubted.
- In economic language, *sunshine has a high value-in-use*. It is an example of '**free good**'.

• ***Value-in-exchange:***

- It refers to the worth of a commodity or a service expressed in terms of another commodity.
- When expressed in monetary terms, it is called price of a commodity.
- A good which commands a price is termed as an '**economic good**',
- E.g., TV, car etc.

* **Water-Diamond Paradox of values:**

Some commodities have a high value-in-use but low exchange value, e.g., **water** whereas some commodities have low value-in-use but high exchange value due to its scarcity, e.g., **Diamond**.

5) Wealth: Wealth refers to “anything which has market value and can be exchanged for money.”

Q. What are few characteristics a commodity should possess to be regarded as ‘Wealth’?

To be regarded as '*wealth*', a commodity must possess the following characteristics:

i) Utility ii) Scarcity iii) Transferability iv) Externality

i) Utility: A commodity must have the capacity to satisfy human wants, e.g., furniture, refrigerator etc.

ii) Scarcity: A commodity must be scarce in supply in relation to its demand if it is to be included in the term ‘Wealth’, e.g., all economic goods for which price is paid.

iii) Transferability: A commodity should be transferable from person to person as well as place to place. If the good is material or tangible then only it is possible to transfer it from place to place, e.g., vehicle, jewellery etc.

iv) Externality: A good can be transferred only if it is external to human body, e.g., bag, chair etc.

6) Personal Income: Earnings received by a person from all sources is called his personal income.

7) Personal Disposable Income (PDI): It is that part of personal income which is left over after payment of direct taxes such as income tax, wealth tax etc.

8) Economic activity: Economic activities can be classified into four types which include production, distribution, exchange and consumption.

*** Basic concepts of Macro Economics:**

1) National Income: In the economic sense, national income is the aggregate monetary value of all final goods and services produced in an economy during a year.

2) Savings: It is that part of income which is not spent currently on consumption.

3) Investment: It refers to creation of capital assets through mobilisation of savings, e.g., machinery, equipment etc.

4) Trade Cycles: Trade cycles are fluctuations in business. They are ups and downs in the overall economic activities. Ups and downs mean fluctuations caused by ‘Inflation’ and ‘Depression’ respectively.

• **Inflation** is a continuous rise in general price level.

• **Depression** is a continuous fall in overall prices and lowering down of economic activity in general.

5) Economic Growth: The term economic growth has a 'quantitative' dimension. In simple words, economic growth means an increase in the real national income of the country, over a long period of time.

6) Economic Development: This is a wider concept which has a 'qualitative' dimension. Economic development implies economic growth plus progressive changes in certain important variables which determine well-being of the people, e.g., education, health etc.

Q. * Differentiate between ‘Economic Growth’ and ‘Economic Development’:

Economic Growth	Economic Development
Definition	
It refers to the increase in the monetary growth of a nation in a particular period.	It refers to the overall development of the quality of life in a nation, which includes economic growth.
Span of Concept	
It is a narrower concept than that of economic development.	It is a broader concept than that of economic growth.
Scope	
It is a uni-dimensional approach that deals with the economic growth of a nation.	It is a multi-dimensional approach that looks into the income as well as the quality of life of a nation.
Term	
Short-term process	Long-term process
Measurement	
Quantitative	Both quantitative and qualitative
Applicable to	
Developed economies	Developing economies
Government Support	
It is an automatic process that may or may not require intervention from the government	It requires intervention from the government as all the developmental policies are formed by the government
Kind of changes expected	
Quantitative changes	Quantitative as well as qualitative changes
Examples	
GDP, GNP	HDI, per capita Income, industrial development

Note:

* *Unemployment created due to impact of cyclical fluctuations is called ‘Cyclical Unemployment’*

* *Physical transferability - This is actual transfer of goods from one person to another and from one place to another, e.g., vehicle.*

* *National Transferability - It is not possible to transfer the good physically but there can be only transfer of ownership rights, e.g., land.*

* *Refer to various types of ‘Income’ as given on page number ‘5’*

* *Remember the various types of ‘Economic activities’ as on page number ‘6’.*

Especially, ‘Factors of Production’, i.e., ‘Land’, ‘Labour’, ‘Capital’ and ‘Entrepreneur’.

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